Strengthening Tribal Consultation in the New Markets Tax Credit Program: A Policy Brief

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Executive Summary

The New Markets Tax Credit (NMTC) Program, administered by the U.S. Department of the Treasury's Community Development Financial Institutions (CDFI) Fund, was established to stimulate private investment in economically distressed communities through federal tax incentives. The program, since its inception in 2000, has generated over $81 billion in tax credit allocation authority, at 8:1 ratio, 8 dollars of private investment for every single federal dollar. It's also led to creation or retention of more than 894,000 jobs, demonstrating its important role in contribution to economic development in underserved areas. Despite these achievements, however, it begs the question as to how effectively NMTC investments align to the priorities of Tribal communities, particularly when projects are financed through non-Native Community Development Entities (CDEs).

While the CDFI Fund's Native Initiative helped broaden access to NMTC financing in Native Areas, a number of Tribal communities rely on non-Native CDEs since several Native CDEs do not have the authority to allocate for Native Areas or participate directly in NMTC financing transactions. The financial knowledge and investment power exist within the non-Native CDEs, but the problem is that they don't have the same formal processes that would include Native perspectives in project planning and selection. Even when projects are implemented in Tribal communities, they may not be addressing issues that are priorities for Tribal communities such as governance structures or long-term economic development goals.

This policy paper argues that the principal governance challenge within the current NMTC framework is not the participation of non-Native CDEs themselves, but rather the absence of structured consultation between non-Native CDEs and Native stakeholders during investment decision-making. Existing Native CDEs possess institutional knowledge regarding Tribal governance, local economic conditions, cultural priorities, and community development needs that can substantially strengthen project selection without fundamentally altering the structure of the NMTC Program.

This policy paper contends that the current governance structure of the NMTC is not the problem with the participation of non-Native CDEs, but rather a lack of structured consultation between non-Native CDEs and Native stakeholders in the investment decision-making process. Institutional knowledge already exists within the Native CDEs which can significantly complement the project selection process, even if it does not change the nature of the NMTC Program.

To fill this void, this paper examines three policy options: continuing with the current NMTC regime; increasing the number of certified Native CDEs; and creating a formalized consultation arrangement between existing Native CDEs and existing non-Native CDEs. After considering the feasibility of implementation, institutional capacity, and the likely impact of the policy, the paper suggests that the third one is the most feasible and immediate action to take. The proposed consultation process does not mandate the development of new CDEs, which would take a considerable amount of time, organization, and regulatory approval; instead, it supports the existing Native CDE consultation process while maintaining the

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ease of operation of the current NMTC Program. The recommendation aims to increase the effectiveness of collaboration between Native and non-Native CDEs in the project planning process; enhance decision-making processes for incorporating Native perspectives and cultural values; and optimize the responsiveness of investments toward Tribal development priorities identified by Tribal community members and support general goals of sustainable and equitable economic development.

Keywords: New Markets Tax Credit (NMTC), Community Development Financial Institutions Fund (CDFI Fund), Community Development Entities (CDEs), Tribal Economic Development, Tribal Consultation, Public Policy

1. Policy Problem

The New Markets Tax Credit (NMTC) Program has emerged as one of the United States' most powerful and successful place-based economic development programs, using private funds to finance projects in low income and underserved communities. The program has raised significant investment and facilitated thousands of projects throughout the country to develop communities, but it has been difficult to coordinate the program's governance when investments are made inside Tribal communities. In particular, the NMTC Program does not mandate that a formal consultation process take place between non-Native Community Development Entities (CDEs) and Native stakeholders in the project-planning and investment-selection stages of an NMTC program. This can leave a project economically viable, but only partially consistent with the economic priorities, governance structures, and long-term development goals of Tribal communities.

There is no technical or investment deficit of non-Native CDEs that causes this governance challenge. In contrast, non-Native CDEs have been key to broadening access to NMTC financing in areas outside the reach of traditional lenders and are still helping to bring investments in these areas that would otherwise not take place. These organizations are often not structured to include a process for considering Native perspectives in project selection. Tribal governments and existing Native CDEs have a wealth of local knowledge and expertise on Tribal governance, land use, community priorities, cultural considerations, and the local economy. Lacking a structure in which this knowledge is incorporated into investment decisions, projects may tend to focus on financial viability rather than what is seen as a need in the community.

The CDFI Fund provides another example of this governance failure. The CDFI Fund (2023) reviewed nine Native-focused NMTC case studies, and only one of these projects included a Native CDE, with the remaining projects using non-native CDEs to facilitate financing. What this does not mean is that non-Native CDEs are ineffective, but it does show that there are still not many Native people involved in investment planning for these investments even though they are for the benefit of the Native communities. This also can result in a failure to consider Tribal knowledge in project selection, limiting the effectiveness of NMTC investments to address local economic development priorities.

Limited number of certified Native CDEs across the country compound the challenge. There are very few Tribal and Native-led financing institutions, and outside entities must find a way to obtain NMTC investment for many Tribal communities. Building new CDEs would take more time to establish (long-term) and would build the capacity of more Tribes but would involve a lot of organization, certification, technical and regulatory effort.

The key policy question that is not raised in this paper is whether non-Native CDEs should stay in the NMTC Program, but rather how Native knowledge can be integrated in an organized manner into investment decision-making without upending the program structure. A formal consultation process could

help fill this governance void, bolster Tribal involvement, increase responsiveness, and make NMTC investments more effective for the long term in Native communities.

2. **Policy Context**

The New Markets Tax Credit (NMTC) Program was created under the Community Renewal Tax Relief Act of 2000 to stimulate investment in economically distressed communities where a lack of private sector investment has been a problem. The program, established by the Community Development Financial Institutions (CDFI) Fund in the U.S. Department of the Treasury, is a federal tax credit program that provides tax credit authority to certified Community Development Entities (CDEs). They are designed to encourage private investors to finance qualified projects in low-income communities through tax credits, and to qualify businesses for low-income tax credits. The NMTC Program aims to foster economic development, provide jobs, increase access to critical services, and improve access to depressed areas via this public-private finance mechanism.

The NMTC Program has been one of the largest place-based economic development programs that the federal government has ever created. Since its inception, over $81 billion has been allocated in tax credit allocation authority, with an estimated 8:1 ratio of private investment to federal dollars to create or conserve jobs across the country (creation or retention of more than 894,000 jobs nationwide (CDFI Fund, 2024). The results achieved in these areas show that the program can engage the private sector and contribute to the overall community development goals.

These headline measures describe different aspects and time periods of the program and should not be read as interchangeable. The more than $81 billion figure refers to cumulative NMTC allocation authority awarded by the CDFI Fund as of the September 2024 allocation announcement. The $63.6 billion financing figure and the estimate of more than 894,000 jobs created or retained reflect reported program activity through Fiscal Year 2023. The frequently cited statement that the NMTC Program generates approximately $8 of private investment for every $1 of federal cost is a leverage estimate comparing private investment mobilized through the credit with the federal tax expenditure; it is not the same measure as allocation authority or total project financing. Stating the reference year and measure separately avoids treating allocation authority, financing volume, leverage, and employment outcomes as equivalent program statistics (CDFI Fund, 2024).

The CDFI Fund was aware that despite the overall success of the NMTC Program, many Native communities struggled to access economic development financing and thus launched the NMTC Native Initiative to raise awareness, participation, and investment in Native Areas. This effort is centered on growing NMTC activity in Federal Indian Reservations, Off-Reservation Trust Lands, Alaska Native Village Statistical Areas and Hawaiian Home Lands and technical assistance and outreach to Native organizations interested in participating in the program (CDFI Fund, n.d.). While the program has helped to expand investment opportunities, there are substantial institutional capacity gaps between CDEs from the Native community and those who are not.

The Native Initiative is delivered at the regional level, across regions of the Tribal community; therefore, an understanding of the Office of Native American Programs (ONAP) regional structure is important to understanding how the Native Initiative is administered throughout Native Areas. These are the regional jurisdictions as shown in Figure 1.



Source: National Directory of Tribes and TDHEs by ONAP Regions[12]

Figure 1. Office of Native American Programs (ONAP) Regions. The Office of Native American Programs divides Tribal communities into six administrative regions to support housing and community development initiatives across Native Areas. Source: National Directory of Tribes and TDHEs by ONAP Regions.

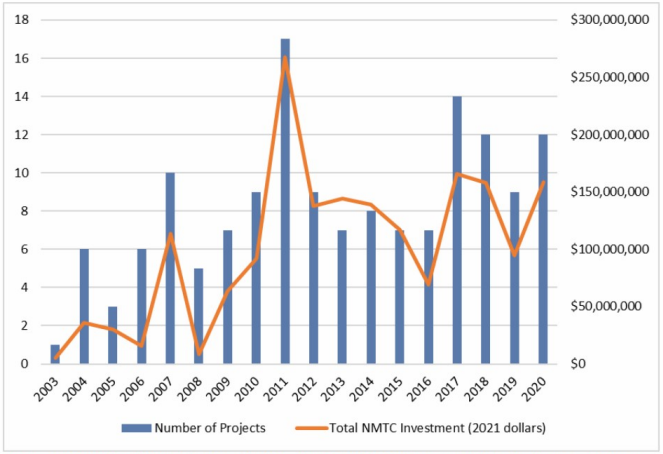
The existing NMTC framework allows for financing of investments in Tribal communities by either Native or non-Native CDEs. But, very few Native CDEs have the authority to allocate, the organizational ability and experience to independently manage a NMTC transaction. Many Tribal communities therefore access NMTC financing via non-Native CDEs which run the investment process on behalf of private investors. This has increased access to capital but also placed decision-making over project planning and investments outside of the affected Tribal communities.

This institutional form is a practical solution to an organizational capacity disparity, but not a deficiency of the NMTC Program. Non-Native CDEs offer a host of beneficial technical capabilities, investment knowledge and financial markets that many Tribal communities now need. However, existing framework does not mandate structured consultation with Native CDEs or Tribal representatives when planning a project, thus opportunities may be limited to integrating local knowledge and information into investment decisions. Since the demand for NMTC allocation authority remains greater than funding, making sure investments are delivered to the Native community and that the priorities they have for their investments are met will be increasingly significant policy considerations.

3. **Evidence and Analysis**

The effectiveness of the New Markets Tax Credit (NMTC) Program is well known because of its proven capacity to bring private money to economically impoverished communities. Over the life of the program, the Community Development Financial Institutions (CDFI) Fund has allocated more than $81 billion in tax credit allocation authority, with about $8 in private investment for every $1 in federal investment. As of

Fiscal Year 2023, NMTC investments have secured over $63.6 billion in financing for low-income communities, created or saved more than 894,000 jobs and helped build or rehabilitate nearly 259.5 million square feet of commercial real estate (CDFI Fund, 2024). The program's expanding role in Native economic development is further reflected in the long-term development of NMTC activity within American Indian, Alaska Native, and Native Hawaiian communities. Figure 2 shows the number of projects and the investment value of the projects from 2003 to 2020.



Source: CDFI Fund New Markets Tax Credits (NMTC) Investments Made in American Indian, Alaska Native, and Native Hawaiian (AIANNH) Areas, 2001 through 2020

Figure 2. Projects and NMTC Investment in American Indian, Alaska Native, and Native Hawaiian (AIANNH) Lands by Year Closed. The figure demonstrates the increasing utilization of NMTC financing within Native Areas between 2003 and 2020. Source: CDFI Fund (2023).

These numbers show the overall success of the NMTC Program in bringing investment capital to the communities, but do not necessarily reflect the priorities of the communities themselves. To answer that question, it is important to look at the implementation of NMTC projects in Native communities.

Investments do not always reflect the preferences of the communities they are meant to benefit, however. The difference is significant in Tribal communities where economic development initiatives may need to take into account Tribal governance, land ownership, cultural priorities, and long-term community planning. The governance framework of the NMTC Program does not afford Native stakeholders the opportunity to be formally involved in planning when the investments are administered through non-Native Community Development Entities (CDEs) to Native Areas.

The CDFI Fund's New Markets Tax Credit Investments in Native Areas: Selected Case Studies and Best Practices offers valuable insight into this institutional challenge. The report finds that Native and non-Native CDEs can both be successful in providing NMTC financing to Native communities, but that "Native CDEs may be more equipped to understand the Tribal governance system, to identify local development priorities, and to build long-term institutional capacity within the Tribal community" (CDFI Fund, 2023). Only one project represented a Native CDE; all other projects were dependent upon the non-Native CDE to enable investment in a project. This does not imply that non-Native CDEs are ineffective, but it does indicate that Native involvement in investment planning is also sparse, though present, given that Native communities are the intended beneficiaries of these activities. The CDFI Fund has chosen nine representative projects

across the United States for the purpose of understanding how NMTCs investments have been deployed in Tribal communities. The geographic distribution of these case studies is shown in Figure 3 below.

This case-study pattern should be interpreted cautiously. The presence of a Native CDE in only one of the nine selected projects demonstrates limited Native CDE participation in this particular sample, but it does not establish that the other eight projects lacked meaningful Tribal input, nor does it demonstrate that those projects failed to reflect community priorities. The case studies are therefore used here as evidence of an institutional participation gap rather than as proof of systematic project misalignment. Additional support for examining consultation practices comes from the CDFI Fund's broader Native Initiative, which has identified continuing barriers to Native participation in NMTC transactions and has responded through research, technical workshops, direct technical assistance, and guidance for Native organizations seeking to use the program (CDFI Fund, 2023). The policy concern addressed in this paper is consequently the absence of a consistent, documented consultation safeguard, not a finding that existing non-Native CDE projects are generally unsuccessful.



Source: Big Water Consulting, 2023

Figure 3. Geographic Distribution of Native NMTC Case Study Projects. The CDFI Fund examined nine representative NMTC projects across multiple ONAP regions to evaluate how investments have been implemented in Native communities. These case studies span diverse sectors, including education, healthcare, manufacturing, retail, infrastructure, and community facilities. Source: Big Water Consulting (2023).

Taken together, the case studies illustrate the scope of projects undertaken by Native communities with NMTC investments. They do indicate, however, that there is a low level of involvement of native CDEs in project implementation, reflecting the governance gap noted throughout this paper.

This governance shortfall is particularly pronounced because Tribal communities often have development priorities that go beyond the typical financial performance metrics. Cultural preservation, long-term community resilience, infrastructure accessibility, workforce development or expansion of essential services that are not always fully captured by traditional investment evaluation measures are all aspects of economic development initiatives. Current and existing Native CDEs have institutional knowledge that can help achieve these larger community goals while ensuring financial viability. However, there is no consistent process for providing input from this expertise into investment decisions without a formal consultation process.

Table 1. Overview of Native NMTC Case Study Projects

Project	Year Closed	Region	Project Total QCLIs	Sector	Native CDE?
Choctaw Early Childhood and Elementary Education	2020	Eastern/Woodlands Region	$15,000,000	Community – Schools and child care	No
Crain Manufacturing	2007	Southern Plains	$8,100,000	Other – Manufacturing and Food processing	No
Makah Commercial Fishing Dock	2014	Northwest	$7,620,320	Other – Forest, agriculture, fishing, mining, and quarry	No
Maniilaq Nursing Home	2010	Alaska	$17,460,995	Health	Yes
Minnewaukan Public School District K-12 School	2012	Northern Plains	$10,864,000	Community – Schools and child care	No
Navajo Tribal Utility Authority Administrative Building	2010	Southwest	$9,500,000	Other – Energy, water, waste, broadband and sewage	No
St. Croix Chippewa Indians Judicial Center	2017	Eastern/Woodlands Region	$13,840,000	Mixed Use – Community Facilities and Retail	No
Wa She Shu Travel Plaza	2015	Southwest	$10,500,000	Retail	No
West Hawaii Community Health Center	2013	Hawaii	$21,807,500	Health	No

Source: Community Development Financial Institutions Fund (2023), New Markets Tax Credit Investments in Native Areas: Selected Case Studies and Best Practices.

Further data from the federal government supports the need to increase Native involvement in economic development. The U.S. Department of the Treasury's Native American Lending Study found that the barriers to capital access continue to exist due to geographic isolation, limited financial infrastructure, legal issues and lack of Native controlled financial institutions. The study found that the enhancement of Native financial institutions would increase access to capital and would allow for development projects to better serve Tribal priorities and local economic needs (U.S. Department of the Treasury, 2001). Likewise, the U.S. Government Accountability Office (GAO) identified the fragmentation of federal economic development programs and suggested enhanced coordination and information sharing by federal agencies to maximize the impact of federal investments (U.S. GAO, 2022).

The federal policy has also underscored meaningful Tribal consultation. In the 2021 Memorandum on Tribal Consultation and Strengthening Nation-to-Nation Relationships, the Executive Branch reaffirmed that federal agencies should engage in regular, meaningful, and robust consultation with Tribal governments

when developing policies affecting Tribal Nations (Biden, 2021). The principles contained in the memorandum do not apply to the NMTC Program specifically, but they do support broader federal initiatives to enhance Tribal involvement in decision making. The above principles applied to investment in NMTC suggest that the greater the inclusion of Native perspectives in project planning, the higher the level of procedural inclusiveness and the more likely that the decision on the investment is responsive to community priorities.

3.1 Tribal Government Consultation, Native CDE Participation, and Community Engagement

For purposes of the proposed framework, consultation with a Native CDE is not equivalent to government-to-government consultation with a sovereign Tribal Nation. A Native CDE may contribute financial, institutional, and local-market expertise, but it should not be presumed to speak for a Tribal government unless that government has expressly authorized it to do so. Where an NMTC project is located within, or would materially affect, a Tribal Nation, the relevant Tribal government should be the primary governmental consultation partner. Existing Native CDEs may participate as technical and community-development advisors, while other community stakeholders may provide additional information about local needs and project impacts. The non-Native CDE would remain responsible for conducting and documenting the process and, subject to existing NMTC requirements, would retain final investment authority. This division of roles preserves Tribal sovereignty while still using the specialized knowledge of Native CDEs.

Together, this evidence suggests that funding is not a significant constraint on the current NMTC framework, but rather the lack of a governance structure that consistently engages Native expertise in project selection. This institutional void can be filled by improving the effectiveness of NMTC investments while maintaining the program's successful public-private financing model.

The above proves that it is governance, and not the financial capability, that hinders the current NMTC scheme. The next section reviews the options for policy responses to this institutional issue and then selects the best among them.Taken together, the evidence supports examining governance and consultation as an institutional issue within the current NMTC framework, while not establishing that project misalignment is systemic. The next section reviews the options for policy responses to this institutional issue and then selects the best among them.

4. Policy Options

Multiple alternatives should be considered before determining the most suitable course of action for effective policy reform. In the New Markets Tax Credit (NMTC) Program context, the primary hurdle is enhancing the way the investment decision-making process incorporates Native perspectives while maintaining the program's capacity to attract private investment. The following three policy options are assessed based on their feasibility, implementation timeline, administrative burden, and potential for increasing Tribal participation in Tribal project selection.

4.1 Option One: Maintain the Current NMTC Framework

The first is to keep the current structure of the NMTC Program and not add a new consultation requirement. The current structure will continue to allow Native CDEs and non-Native CDEs to serve as facilitators for investment in Tribal communities and continue to leverage some of the technical knowledge and financial resources of established CDEs. This is an approach that entails no legislative or administrative changes and maintains operational efficiency that has helped make the NMTC Program successful.

But a continued state of "business as usual" is not sufficient in rectifying the governance gap that has been highlighted throughout this paper. Investments are also increasingly being made to Native communities, but the lack of a formal consultation process can result in projects not always reflecting Tribal priorities, governance and local development goals. As a result, although this method of support is a logical and convenient way to support the administration of the program, it does not afford a significant chance to enhance the responsiveness of projects funded by the NMTC in the long-term or the extent to which Native people are involved in the decisions affecting their projects.

4.2 Option Two: Expand the Number of Native Community Development Entities

A second policy option is to increase the number of certified Native Community Development Entities (CDEs) participating in the NMTC Program. Greater development of Native-led institutions would also bolster Tribal self-determination by allowing for more investments to be overseen by organizations that have established ties within the Native community. This may enhance local institutional capacity over time, boost Native involvement in decision making processes and decrease reliance on outside bodies.

Although this is a possibility with good results, it also has implementation challenges. Organizational capacity, financial knowledge, regulatory certification, and the capacity to successfully compete for limited NMTC allocation authority are all necessary prerequisites for establishing a new Native CDE. It takes a considerable amount of time and resources to build these capacities, and this is not a quick fix or short-term policy solution. Therefore, while increasing the number of Native CDEs is key to a long-term goal, it will not necessarily solve the governance issues that are currently impacting the selection of NMTC projects.

4.3 Option Three: Establish a Formal Consultation Framework Between Existing Native and Non-Native CDEs (Recommended)

This approach is recommended and involves the creation of a formal consultation framework between existing Native and Non-Native CDEs. Essentially, this option is to create a formal consultation process in which non-Native Community Development Entities (CDE) that fund projects in Tribal communities must consult with an existing Native CDE in the project planning and project selection phases of the project. This strategy is not a transfer of investment authority nor an establishment of new institutions but takes advantage of the knowledge and experience of current Native CDEs to offer advice on issues of Tribal governance, community priorities, cultural considerations, and economic conditions before investment decisions are made.

This option is the most effective and feasible option. It maintains the financial skill and investment capacity of non-Native CDEs while integrating Native viewpoints into project planning processes in a systematic manner. The recommendation does not require the establishment of new Native CDEs, and the institutions already exist under the current NMTC framework, meaning that implementation can be quicker than developing new Native CDEs, and will require relatively less financial and administrative resources. In addition, a well-designed consultation process encourages better co-decision-making, enhances the relationship between Native and non-Native institutions, and boosts the chances of a match between the development priorities identified locally and the NMTC investments. For these reasons, this paper identifies Option Three as the preferred policy alternative.

4.4 Comparative Evaluation of Policy Options

To make the recommendation more transparent, Table 2 compares the three options using the same policy-evaluation criteria: legal feasibility, implementation time, administrative cost, Tribal sovereignty, institutional capacity, accountability, and expected policy impact. The comparison does not assume that any single criterion is determinative; rather, it shows the principal tradeoffs that support the recommendation.

5. Recommended Policy Option

After reviewing the policy options, this paper suggests the creation of a formal consultation process between current Native and non-Native Community Development Entities (CDEs) for the proposed establishment of the NMTC for projects within Tribal communities. The most practical and immediately implementable solution is this approach, as it has the potential to increase Tribal participation while not changing the fundamental makeup of the New Markets Tax Credit (NMTC) Program.

The recommended framework expands institutions that have the organizational capacity and experience to be involved in NMTC financing, while proposals that would involve forming new Native CDEs would divert those resources. The existing Native CDEs have institutional knowledge of Tribal governance, community priorities, land ownership structures, cultural considerations, and local economic conditions that can benefit the project planning process. Consultation with these organizations is a prerequisite to incorporating locally informed perspectives as non-Native CDEs provide the financial expertise and investment capacity that has led to the program's success.

The proposed consultation framework needs to be integrated into both the project planning process for NMTC investments that will impact Tribal communities. Non-Native CDEs would meet with an existing Native CDE in the area of interest before finalizing proposals to cover community development needs, the potential impact of projects, and opportunities to better align investments with local economic priorities. The consultation process is not designed to devolve investment responsibility or add administrative hurdles. The entities that administer NMTC transactions would continue to make final investment decisions based on existing program regulations.

Under this framework, the relevant Tribal government and the Native CDE would have distinct functions. The Tribal government would be consulted on governmental priorities, sovereignty-related concerns, land and governance issues, and other matters on which it is the authoritative representative of the Tribal Nation. A Native CDE, where available and appropriate, would provide complementary technical input on financing, local economic conditions, institutional capacity, and community-development considerations. Community stakeholders could be engaged to provide project-specific perspectives, while the non-Native CDE would retain responsibility for NMTC underwriting, compliance, and the final investment decision. Consultation with a Native CDE would therefore supplement, not replace, engagement with the affected Tribal government.

This recommendation aligns with federal efforts to Tribal consultation and collaborative government. The federal government has come to realize in recent years that policies that impact Tribal Nations must be created in a way that engages Tribal communities meaningfully. The implementation of these principles within the NMTC Program would enhance the responsiveness of the program and maintain the current public-private financing structure of the Program. The proposed framework does not aim to replace the existing institutional framework but rather complements it to take local knowledge into account together with financial and technical expertise.

Criterion	Option 1: Current Framework	Option 2: Expand Native CDEs	Option 3: Formal Consultation Framework
Legal feasibility	Highest; no program change required.	Feasible under existing certification/allocation structures, but expansion depends on organizations meeting program requirements.	Potentially high if implemented through allocation criteria and Allocation Agreements within existing authority; broader binding duties may require regulation or legislation.
Implementation time	Immediate.	Long term; requires institution-building, certification, expertise, and successful competition for allocation authority.	Short to medium term; can be phased into future allocation rounds.
Administrative cost	Low.	High relative to the other options because new institutional capacity must be developed.	Low to moderate; primarily consultation, documentation, training, and oversight costs.
Tribal sovereignty	No additional safeguard.	Can strengthen Native institutional capacity, but a Native CDE is not itself necessarily a Tribal government representative.	Stronger if Tribal governments are recognized as the governmental consultation partner and Native CDEs serve a complementary technical role.
Institutional capacity	Relies on current capacity.	Builds Native capacity over time but cannot address near-term gaps by itself.	Uses existing non-Native financial capacity while drawing on Tribal and Native CDE knowledge.
Accountability	Existing NMTC reporting only.	Depends on future CDE participation and allocation success.	Consultation Summary and defined roles create a documented process that can be monitored.
Expected policy impact	Preserves efficiency but does not add a consultation safeguard.	Potentially substantial over the long term.	Targets the identified procedural gap while preserving existing investment authority and program structure.

The proposed framework offers the potential to enhance long-term partnerships between native and non-native CDEs, in addition to assisting with individual investment choices. Ongoing cooperation can help promote knowledge sharing, institutional trust, and future partnerships that increase economic development opportunities for Tribal communities. The recommendation emphasizes the use of existing structures rather

than building new ones, which strikes a balance between operability and responses to governance challenges identified throughout this paper.

6. Implementation Framework

The proposed consultation framework should be implemented in a way that is consistent with the current administrative structure for the New Markets Tax Credit (NMTC) Program to the greatest extent possible, while also reducing the regulatory burden. The implementation should not involve the establishment of new institutions but rather deepen dialogue between the already established Native and non-Native Community Development Entities (CDEs) throughout the project planning phase. With this approach, the recommendation can be incorporated into the existing NMTC framework without compromising the functioning of the program to efficiently and effectively allocate investment capital.

The federal government's lead agency for implementing the consultation framework should be the Community Development Financial Institutions (CDFI) Fund. The CDFI Fund is uniquely situated to create implementation guidance, define consultation expectations, and integrate the framework into existing program requirements as the administrator of the NMTC Program. The consultation process does not need to be mandated by legislation, but could be incorporated into program guidance, application process, or reporting requirements provided by CDFI Fund.

6.1 Legal and Administrative Basis for Implementation

The proposed requirement should be implemented through the narrowest administrative mechanism capable of achieving its purpose. Section 45D(f)(2) of the Internal Revenue Code authorizes the Secretary of the Treasury to allocate NMTC authority among qualified CDEs through a competitive process, and Section 45D also authorizes appropriate reporting requirements. Current CDFI Fund practice already uses the Notice of Allocation Availability (NOAA), Allocation Application, and Allocation Agreement to establish application criteria, award-specific commitments, and reporting obligations for allocatees.

At the application stage, the CDFI Fund could add questions or evaluation criteria asking applicants that propose investments in NMTC Native Areas to describe how they will engage the affected Tribal government and, where appropriate, Native CDEs and community stakeholders. For successful applicants, commitments made through that process could be reflected in the Allocation Agreement, which already establishes enforceable terms and reporting requirements for an allocation. Program guidance and technical assistance could define recommended consultation practices and model documentation, but guidance alone should not be treated as creating an independently enforceable substantive duty. Reporting requirements could require a Consultation Summary and allow the CDFI Fund to monitor compliance with an applicable allocation commitment, but reporting by itself would document rather than create the underlying obligation.

If Treasury sought to impose a generally applicable substantive consultation duty independent of the competitive allocation and Allocation Agreement process, formal rulemaking may be appropriate depending on the scope and legal effect of the requirement. Legislative action would be more likely to be necessary if Congress wished to create an express statutory government-to-government consultation mandate for NMTC transactions, alter the statutory allocation structure, or give Tribal governments approval or veto authority over private NMTC investment decisions. The framework proposed here does none of those things; it preserves existing final investment authority and is designed primarily as an allocation, documentation, and accountability safeguard.

In the proposed process, non-Native CDEs wishing to fund projects in tribal communities would be expected to begin with an existing Native CDE to the area where they seek to fund projects and consult with them in the early stages of project planning. The aim of this consultation would be to share information about Tribal priorities, community development goals, proposed impacts, and opportunities to continue building alignment between proposed investments and community identified needs. The consultation process is designed to encourage collaboration and not provide an approval process – therefore, the decision on whether to make an investment will still be at the discretion of the entities that perform the NMTC transactions under the current rules.

Participating non-Native CDEs should provide a Consultation Summary as part of their NMTC project documentation which will encourage accountability while providing administrative flexibility. This summary would include the following: the Native CDE consulted, key issues discussed, and how community viewpoints were taken into consideration when planning the project. The aim is not to assess the level of community approval for a project, but to indicate whether significant consultation has been carried out prior to investment decisions.

Implementation should be gradual to give the organizations taking part time to get used to the new consultation process. In the first year, the CDFI Fund may provide guidance and technical assistance to Native and non-Native CDEs and may prepare standardized consultation documentation. For Tribal-based NMTC projects, consultation documentation shall be a common part of NMTC applications starting in Year 2. This stage-by-stage approach ensures that administrative impact is minimized and adequate time is given to institutions to integrate the new procedures into project development processes.

Implementation costs are expected to be relatively low as institutions already involved in the NMTC Program will be used for this recommendation. Existing Native CDEs bring the knowledge and experience needed for the institutional aspects of the consultation process, and non-Native CDEs bring financial expertise and investment capacity. The proposed framework, which builds on existing organizational networks instead of creating new groups, provides a practical and cost-effective approach to enhancing Tribal engagement in NMTC investment planning

6.2 Operational Safeguards and Contingency Procedures

Identification of consultation partners. The non-Native CDE should first identify the Tribal government whose lands, jurisdiction, citizens, or material interests are affected by the proposed project. The Tribal government may identify an appropriate office, representative, Native CDE, or other technical participant. A Native CDE should be selected based on demonstrated service to the relevant community or region and relevant financing or development expertise, rather than geographic proximity alone.

Limited Native CDE capacity. If no suitable Native CDE exists or is reasonably available, the project should not automatically be disqualified. The non-Native CDE should document the steps taken to identify a Native CDE and proceed with the affected Tribal government and, where useful, another Native CDFI, Tribal economic-development entity, or qualified Native technical advisor identified in consultation with the Tribe. This contingency prevents limited Native CDE capacity from becoming a new barrier to capital access.

Costs, conflicts, and confidentiality. Reasonable consultation costs should be identified in advance and may be treated as an eligible project-development or administrative expense where permitted by existing NMTC rules and transaction documents. Participants should disclose material financial or organizational conflicts

of interest. Proprietary information may be protected through confidentiality agreements, but confidentiality should not prevent the Consultation Summary from recording the participants, topics discussed, timing, and substantive issues considered.

Delay and dispute procedures. The CDFI Fund should establish a reasonable consultation window and permit documented good-faith efforts when a consultation partner is unavailable or does not respond. Disputes over whether the process was adequate should first be addressed through clarification or supplemental consultation rather than automatic project rejection. A defined CDFI Fund contact or review process could resolve persistent procedural disputes without transferring the underlying investment decision to the agency or consultation partner.

Minimum documentation for meaningful consultation. The Consultation Summary should identify the affected Tribal Nation; the governmental and technical participants contacted; the dates and stage of project development at which consultation occurred; the principal priorities, concerns, or alternatives raised; any material project changes or responses resulting from consultation; and any unresolved issues. The summary should document substantive consideration rather than merely record that a meeting occurred. It should also state explicitly that the summary is not evidence of Tribal approval and does not substitute for any consent, permitting, or government-to-government process otherwise required by law.

7. **Expected Outcomes**

If adopted, the proposed consultation framework is likely to enhance the impact of the New Markets Tax Credit (NMTC) Program by enhancing the quality of investment planning in Tribal communities and maintaining the program's current public-private financing structure. The recommendation incorporates institutions that are already implementing the NMTC Program, which means that it does not impose a massive administrative burden or change existing investment patterns.

The consultation framework will be expected to enhance communication between the Native and non-Native Community Development Entities (CDEs) in the short term when planning projects. The formal consultation process would give non-Native CDEs additional knowledge about local governance, community priorities, and regional development needs prior to investment decisions. This enhanced collaboration can enhance project design and connection between participating organizations.

The framework is hoped to lead to increased alignment of the investments of the NMTC with locally defined development priorities in the medium term. Including Native voices in planning the project means that investments will better align with the community's needs for economic opportunity, critical services, workforce development, infrastructure, and long-term community resiliency. While financial performance is important, consultation also enables project selection to take into account wider community development goals.

The proposed approach can lead to better institutional relationships between Native and non-Native CDEs and increase Tribal involvement in economic development planning in the long term. Ongoing cooperation can motivate the exchange of knowledge, boost organizational capacity, and build up further working relationships beyond the scope of the individual NMTC projects. These partnerships can also lead to an expanded decision-making process over time that incorporates financial information and locally informed priorities in an investment strategy.

Importantly, the anticipated outcomes of this recommendation are not limited to the number of projects funded or the amount of investment being made. The first goal is to enhance the governance mechanism

used to make investment decisions, creating a real chance to include Native communities in project planning by providing them with the opportunity to contribute their skills. The proposed policy aims to improve the effectiveness, responsiveness, and sustainability of federal economic development investments in Tribal communities through increased consultation, not by changing the nature of the NMTC Program itself.

8. **Monitoring and Evaluation**

To determine whether the proposed consultation framework achieves its intended objectives, the Community Development Financial Institutions (CDFI) Fund should establish a monitoring and evaluation process focused on implementation quality rather than solely on financial performance. Because the recommendation is designed to improve governance and collaboration, evaluation should assess whether consultation is occurring consistently and whether it contributes to more informed project planning within Tribal communities.

Several performance indicators may be used to evaluate implementation. These include the proportion of NMTC projects within Tribal communities that document consultation with an existing Native CDE, the timeliness of consultation during project development, and the extent to which consultation summaries demonstrate meaningful consideration of community priorities. Collectively, these indicators provide evidence that the consultation process is being incorporated into project planning as intended.

In addition to administrative reporting, the CDFI Fund should periodically seek feedback from both Native and non-Native CDEs regarding the effectiveness of the consultation framework. Surveys, interviews, or stakeholder roundtables can provide valuable insight into implementation challenges, opportunities for improvement, and the perceived value of consultation in strengthening project planning. This feedback should be incorporated into future revisions of program guidance to support continuous improvement.

Formal program reviews should be conducted periodically following implementation to evaluate whether the consultation framework continues to meet its intended objectives. Rather than focusing exclusively on investment totals or project completion, these evaluations should consider whether the framework has strengthened collaboration, improved communication, and increased the integration of Native perspectives into NMTC investment planning. Findings from these reviews should inform future administrative guidance and contribute to the ongoing refinement of the program.

To assess the efficacy of the proposed consultation framework, the Community Development Financial Institutions (CDFI) Fund should have a monitoring and evaluation process that emphasizes implementation quality rather than financial performance. Evaluation should be conducted to determine whether the recommendation is being implemented regularly and whether it is helping to facilitate better governance and collaboration with Tribal communities, which is ultimately the goal of the recommendation.

Various implementation indicators can be used to assess implementation. They encompass the percentage of Tribal projects in Tribal communities which involve consultation with an existing Native CDE, consultation during project development process, and meaningful consideration of Tribal priorities in consultation summaries. The indicators together show that the consultation process is being successfully integrated in project planning as planned.

The CDFI Fund should also solicit Native and non-Native CDE input periodically about the efficacy of the consultation framework, in addition to administrative reporting. Surveys, interviews or a stakeholder roundtable may be helpful in gaining insight into challenges for implementation, opportunities for changes,

and current understanding of the value of consultation in improving project planning. This feedback can be used in program guidance for future revisions to aid program improvement.

Regular program reviews post-program implementation to assess ongoing effectiveness of the consultation framework to achieve its goals. These assessments should not only look at total investment amounts or project completion but should also look at the impact the framework has had on increasing collaboration, communication and integration of Native perspectives into NMTC investment planning. The results of these reviews should be used to shape future guidance for administration and to continually improve the program.

9. **Conclusion**

The New Markets Tax Credit (NMTC) Program has proven to be a very effective way to promote economic development in underserved communities throughout the United States through private investment. The public-private financing approach has resulted in significant investment, access to core services and employment opportunities in regions traditionally lacking, and has created a social safety net for individuals and families. In Tribal communities, however, these investments can be effective not only provided they have the necessary capital, but also if they align with local priorities and local governance.

This paper has suggested that a lack of formal process for consultation between non-Native Community Development Entities (CDEs) and Native stakeholders in the project planning process is the challenge that arises within the current NMTC framework. Non-Native CDEs offer project finance and investment capacity, but existing Native CDEs have institutional knowledge that can augment project selection to help ensure investments align with Tribal priorities and long-term community development goals.

Based on a comprehensive analysis of various policy options, this paper recommends that a formal, inter-agency consultation process and integration of existing Native and non-Native CDEs is the most feasible and effective policy approach. The recommendation is based on current institutional capacity, limits administration, and maintains the strengths of the existing NMTC Program while enhancing the inclusiveness of the investment decision making process. The proposed framework builds on collaboration, not restructuring of the program, to ensure more informed, responsive, and sustainable economic development in Tribal communities.

Policy Recommendations

Recommendation 1:

Establish a formal consultation framework requiring non-Native Community Development Entities (CDEs) financing NMTC projects within Tribal communities to consult with an existing Native CDE during the project planning and investment selection process.

For purposes of this recommendation, the affected Tribal government should be treated as the primary governmental consultation partner. Consultation with a Native CDE should provide complementary technical and community-development expertise and should not be treated as a substitute for government-to-government engagement or as evidence of Tribal approval.

Recommendation 2:

Require participating non-Native CDEs to submit a standardized Consultation Summary documenting the consultation process, key issues discussed, and how Native perspectives were considered during project planning.

Recommendation 3:

Direct the Community Development Financial Institutions (CDFI) Fund to periodically evaluate the consultation framework through stakeholder feedback, implementation reviews, and program guidance updates to ensure continuous improvement and long-term effectiveness.

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